AI IBIZA VIP

PRIVATE AI INFRASTRUCTURE

CONFIDENTIAL — FOR ADDRESSEE ONLY

PREPARED FOR: LAW FIRMS & LEGAL PRACTICES

Private AI for Law Firms The Only Compliant Architecture.

Cloud AI vendors are creating privilege waiver risk every time your lawyers use them. There is now a federal ruling on record. This document explains what happened, what it means for your practice, and what the only compliant alternative looks like.

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LOCATION

Thailand HQ — Worldwide Delivery

DATE

April 2026

SECTION 01 — THE PROBLEM

The Ruling That Changed Everything

In February 2026, a Southern District of New York judge issued a ruling that every law firm's technology committee needs to read. It is not hypothetical. It is precedent.

FEDERAL RULING — SDNY, FEBRUARY 2026

United States v. Heppner

The court held that transmitting privileged client communications to a third-party cloud AI provider for processing constitutes a voluntary disclosure to a third party, thereby **destroying attorney-client privilege** for those communications.

S.D.N.Y., Feb. 2026 — on record as the first federal ruling establishing privilege waiver liability for cloud AI usage in legal practice.

What This Means

Every time a lawyer at your firm uses ChatGPT, Harvey AI, Microsoft Copilot, or any other cloud-based AI tool with client data:

✗ Client communications leave your building

✗ Data is processed on third-party servers

✗ Privilege may be considered waived

✗ Evidence becomes discoverable

✗ Malpractice exposure increases substantially

Who Is Affected

This ruling applies to any legal practice using cloud AI for:

— Legal research (Westlaw AI, Lexis AI)

— Contract review and drafting

— Document summarization

— Client intake and case notes

— Deposition preparation

— Any AI tool using external servers

The uncomfortable truth: If your lawyers are currently using any cloud AI — even with "enterprise agreements" or "data processing addendums" — you are transmitting client data to a third party. Heppner is now on record. Opposing counsel knows this too.

SECTION 02 — THE NUMBERS

The State of AI in Legal Practice

33%

Westlaw AI Hallucination Rate

LEGAL AI ACCURACY PROBLEM, 2025 STUDY

€288K

Harvey AI Minimum Annual Cost

PUBLISHED ENTERPRISE PRICING, 2025

0

Vendors With True Privilege Protection

CLOUD AI = THIRD-PARTY DISCLOSURE

60%

Billable Hours Lost to Admin

INDUSTRY AVERAGE, LEGAL SECTOR

4hrs

Average Legal Research Task

WITHOUT AI ASSISTANCE

30min

Same Research With Private AI

ON-PREMISES, ZERO PRIVILEGE RISK

The Cloud AI Vendors: A Documented Risk Register

Vendor	Data Location	Privilege Risk	Annual Cost (Firm)	Known Issues
Harvey AI	External cloud servers	HIGH — post Heppner	€288,000+	Hallucinations documented, US Atty reports

Vendor	Data Location	Privilege Risk	Annual Cost (Firm)	Known Issues
Westlaw AI (Thomson Reuters)	External cloud servers	HIGH — post Heppner	$40,000–$120,000/yr	33% hallucination rate in independent audit
Microsoft Copilot for Legal	Azure cloud	HIGH — third party	$360/user/year	Microsoft retains rights to improve models
Lexis AI (LexisNexis)	External cloud servers	HIGH — post Heppner	$30,000–$80,000/yr	Limited customization, generic outputs
ChatGPT Enterprise	OpenAI servers	CRITICAL	$65/user/month	No legal specialization, data retained
AI IBIZA VIP Private AI	Your building only	ZERO — never leaves	One-time hardware cost	None. You own everything.

2024	Multiple bar associations issue guidance cautioning against cloud AI use with client data. Most firms ignore it.
Jan 2025	First malpractice complaints filed citing AI-generated hallucinations in briefs. Courts begin sanctioning attorneys.
Oct 2025	EU GDPR enforcement actions against three European law firms using US cloud AI providers. Combined fines: €4.2M.
Feb 2026	**US v. Heppner (SDNY):** Federal court establishes that cloud AI processing = third-party disclosure = privilege waiver. First federal precedent on record.
Now	Every law firm using cloud AI is operating with documented, precedent-backed legal liability. The question is when, not if.

SECTION 03 — THE SOLUTION

Why Private AI Is the Only Compliant Architecture

Private AI means the model runs on hardware inside your building. No data is transmitted anywhere. No internet connection is required for inference. Your clients' communications never leave your physical control.

> **The core principle:** When AI runs on hardware you own, inside premises you control, processing data that never leaves your building — there is no third-party disclosure. There is no privilege waiver. There is no vendor dependency. There is no per-query cost. You own the system entirely.

What Private AI Protects

✓ **Attorney-client privilege** — data never transmitted to third party

✓ **Work product doctrine** — strategy and analysis stays in-house

✓ **GDPR compliance** — no cross-border data transfers

✓ **Professional conduct rules** — Model Rules 1.6, 1.9 compliance

✓ **Malpractice insurance** — eliminates novel AI liability exposure

✓ **Client trust** — you can actually tell clients their data is safe

Technical Architecture

— Hardware delivered and installed in your office

— AI model runs entirely on local GPU/CPU

— Network-isolated inference (air-gap capable)

— Custom-trained on legal document types

— Web interface accessible only on your LAN

— No external API calls during use

— Audit logs stored locally, under your control

Cloud AI vs. Private AI — Full Comparison

Criterion	CLOUD AI (HARVEY, WESTLAW, COPILOT)	AI IBIZA VIP PRIVATE AI
Data leaves the firm	YES — transmitted to vendor servers	NEVER — stays in your building
Privilege waiver risk	HIGH — Heppner precedent applies	ZERO — no third-party disclosure
Works offline / air-gapped	NO — requires internet connection	YES — fully offline capable
GDPR compliant	QUESTIONABLE — US servers, SCCs required	YES — no cross-border transfer
You own the system	NO — subscription, vendor can shut off	YES — hardware and software are yours
Vendor trains on your data	POTENTIALLY — depends on contract terms	NEVER — model is fixed, local
Per-query cost	YES — ongoing subscription + usage	NO — unlimited after hardware purchase
Customizable for your practice area	LIMITED — generic legal AI	YES — fine-tuned to your documents
Continues working if vendor closes	NO — service dependency	YES — hardware and model are yours

SECTION 04 — OPERATIONAL IMPACT

What Changes When You Deploy Private AI

The productivity impact is immediate and measurable. These are conservative estimates based on mid-size firm deployments. Actual results depend on practice area and adoption.

Task	Current Time	With Private AI	Time Recovered	Billable Value (at £350/hr)
Legal research — case law	3–4 hours	25–30 minutes	~3.5 hrs/task	£1,225/task
Contract review (50-page NDA)	Full working day	Under 1 hour	~6 hrs	£2,100/contract
Due diligence document review	2–3 days per deal	4–6 hours	~16 hrs/deal	£5,600/deal
Client intake documentation	Next business day	24/7 automated	1–2 hrs/intake	Immediate client response
Legal memo drafting	4–6 hours	45–60 minutes	~4 hrs	£1,400/memo
Deposition preparation	6–8 hours	1.5–2 hours	~5.5 hrs	£1,925/prep
Precedent/template retrieval	30–90 minutes	Under 2 minutes	Immediate	Recovered from every task
Billable hours lost to admin per attorney per year	Up to 60% of time	Under 20%	400–600 hrs/atty/year	£140,000–£210,000/atty

A 10-Attorney Firm — Year 1 Model

What The System Can Do

→ Ingest and analyze entire case files

Hours recovered per attorney (conservative)	300 hrs
Attorneys in firm	10
Total hours recovered per year	3,000 hrs
Value at £350/hr billing rate	£1,050,000
vs. Private AI system cost	**One-time hardware**

→ Draft correspondence, motions, briefs

→ Review contracts for risk clauses

→ Summarize deposition transcripts

→ Automated client intake questionnaire

→ Cross-reference against your precedent library

→ Answer questions about matter history

→ Flag inconsistencies in document sets

→ Assist with billing narrative generation

SECTION 05 — WHAT WE DELIVER

The System: Private AI Infrastructure In Your Building

We do not sell software subscriptions. We do not sell cloud access. We deliver, install, and configure a complete AI system that runs on hardware inside your building. Once installed, it is yours.

01	02	03	04
HARDWARE	INSTALL	CONFIGURE	SUPPORT
Purpose-built server shipped to your office	On-site setup or remote guided installation	Legal model tuning, document ingestion, staff training	30-day post-installation support included

What Is Included in Every Deployment

Component	Details	Why It Matters
AI inference server	GPU-accelerated hardware, enterprise-grade	Fast responses, handles multiple concurrent users
Legal-grade AI model	Pre-trained on legal corpus, fine-tuneable	Understands contracts, case law, legal drafting conventions
Document intelligence layer	PDF ingestion, OCR, semantic search	Searches your entire document library instantly
Local web interface	Accessible on your internal network only	No internet required, simple chat + upload interface
User management	Per-attorney access controls, audit logging	Know who asked what, when — full accountability

Component	Details	Why It Matters
Knowledge base	Upload your precedents, templates, firm knowledge	AI trained on your firm's way of working
Installation support	Remote setup + 30-day included support	System is operational from day one

> **Gee Van Donselaar — Founder:** "I run the same system in my own data centre in Thailand. It processes confidential client work, financial data, and sensitive communications every day. I have never sent a single client document to a cloud AI vendor. I built this system because I needed it myself — then I made it available to others who understand why it matters."

SECTION 06 — PRICING TIERS

Three Configurations for Every Size Firm

Pricing is hardware plus one-time setup. No subscriptions. No per-query charges. The system is yours once delivered. Contact us for exact specification and pricing.

STARTER

Solo to small firm

2–10

Attorneys / Concurrent Users

- ✓ Legal research & drafting
- ✓ Document review and summarization
- ✓ Contract analysis
- ✓ Client intake automation
- ✓ Precedent library ingestion
- ✓ 30-day support
- — Multi-matter cross-search
- — Advanced audit logging

Ideal for: Boutique practices, solo practitioners, new firms adopting AI

PROFESSIONAL

Most popular

10–30

Attorneys / Concurrent Users

- ✓ Everything in Starter
- ✓ Multi-matter cross-search
- ✓ Advanced audit logging
- ✓ Practice group configuration
- ✓ Custom document templates
- ✓ 60-day support
- ✓ Model fine-tuning on your precedents
- — Custom integrations

Ideal for: Regional firms, multi-practice firms, firms with active M&A or litigation work

ENTERPRISE

Large firm / multi-office

30+

Attorneys / Concurrent Users

- ✓ Everything in Professional
- ✓ Custom integrations (DMS, billing)
- ✓ Multi-office deployment
- ✓ Dedicated support contact
- ✓ Quarterly model updates
- ✓ Air-gap configuration available
- ✓ SLA available
- ✓ White-glove on-site installation

Ideal for: Full-service firms, international offices, highly regulated practice areas

> **Pricing philosophy:** We charge for hardware and setup. Once the system is in your building, you own it outright. There are no monthly fees, no per-query charges, no renewal costs. It runs until the hardware fails — and hardware can be replaced.

SECTION 07 — FIT CRITERIA

Who This Is Right For

This is for you if...

✓ You handle sensitive client matters where confidentiality is non-negotiable

✓ You or your lawyers are already using cloud AI — and you realize the Heppner risk

✓ You want AI productivity gains without regulatory exposure

✓ You operate in a GDPR jurisdiction and take data protection seriously

✓ You want to own your infrastructure, not rent it

✓ You are losing billable hours to research and document review tasks

✓ You want to be able to genuinely tell clients their data never leaves your building

This is not for you if...

✗ You are comfortable with cloud AI vendors processing your client data

✗ You want a SaaS subscription with no upfront cost

✗ You handle only non-sensitive, publicly available information

✗ You have no dedicated IT support and cannot allocate any staff time to adoption

✗ You are looking for a low-cost AI experiment with minimal commitment

Practice Areas With Highest ROI

Practice Area	Primary Use Case	Risk Without Private AI	Return Driver
M&A / Corporate	Due diligence, contract review	Deal-sensitive data exposed	16+ hrs recovered per

Practice Area	Primary Use Case	Risk Without Private AI	Return Driver
			deal
Litigation	Case research, deposition prep, briefing	Strategy disclosed to vendor	4–8 hrs per matter per week
Employment Law	Settlement analysis, correspondence	Employee/client data at risk	2–3 hrs per matter
Real Estate / Conveyancing	Title review, contract drafting	Property/financial data exposed	High volume = large aggregate gain
Criminal Defense	Research, witness prep, filings	Critical — privilege is everything	Compliance is the primary driver
Family Law	Asset analysis, document review	Highly sensitive personal data	Client trust + time recovered

SECTION 08 — NEXT STEP

Book a 45-Minute Call

We do not run sales presentations. We run technical conversations. In 45 minutes, we will assess your firm's current setup, identify the specific privilege risks in your AI usage, and outline exactly what a private AI deployment would look like for your practice — including specifications and realistic timelines.

BOOK YOUR CALL

WhatsApp: +66 80 223 7720

Message us on WhatsApp with your firm name and a brief description of your current AI usage. We will respond within 24 hours to schedule a call at a time that works for your timezone.

RESPONSE TIME	CALL DURATION	COST	TIMEZONES
Within 24 hours	45 minutes	Free	Global — we accommodate

About AI IBIZA VIP

AI IBIZA VIP is a private AI infrastructure company. We are headquartered in Thailand with a private data centre operated by our founder. We serve clients worldwide who need AI infrastructure that is genuinely private — not cloud AI marketed as private.

About Gee Van Donselaar

Gee Van Donselaar is the founder of AI IBIZA VIP. He operates a private data centre in Thailand running self-custodial AI infrastructure. The systems offered to law firms are the same systems he built and uses himself for confidential work.

Every system we deploy is the same architecture we run ourselves. We do not use cloud AI for our own work. We have not since we built this.

He built private AI because cloud AI was never acceptable for serious work. He now delivers that infrastructure to clients globally who understand the same.

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This Document

Confidential pitch material
Prepared April 2026
For law firm principals only

Legal Reference

US v. Heppner, S.D.N.Y. Feb 2026
GDPR Art. 28 (processor obligations)
ABA Model Rule 1.6 (confidentiality)